SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

F Group has a wholly owned subsidiary, S Limited in Country S that is carrying on an intra-group financing business. S Limited has applied (including submission of business plan and negotiation on commitments) and gone through a formal evaluation process by the official economic and development body in Country S. It obtained the Enterprise Treasury Centre ("ETC") tax incentive from Country S's tax authority with the following five terms:

1. Profit from qualifying ETC business is subject to preferential tax rate of 8% for a term of five years.

2. ETC business includes money lending to/ borrowing from approved network companies, and related interest expense is tax deductible and free from any withholding tax in Country S.

3. Annual minimum local business spending of US$1m.

4. Employ at least four ETC professionals who must be citizens of Country S and working full time in Country S.

5. Adequate internal control and procedures for finance operation should be instituted and audited annually by external auditors.

The above intra-group financing business involves S Limited obtaining shareholder's loan from ultimate parent company F Limited in Country F, and then on-lend the funds to over ten participating subsidiaries in Asia that from time to time need funding for business expansion and working capital. Participating subsidiaries that have surplus cash will deposit funds with S Limited on a monthly basis earning interest income. S Limited has a treasury team based in Country S that monitors the market interest rate on a daily basis and resets its borrowing/ lending rates on a monthly basis to ensure these rates are aligned with market rates as far as possible.

Due to high frequency and volume of fund transfers (for loan principal and interest), S Limited incurred substantial bank charges.

All intra-group lending and borrowing transactions are bearing arm's length interest, leaving S Limited earning an arm's length profit from its intra-group business conducted in Country S. All intra-group lenders are beneficial owners of the interest income, and there is no arrangement under which the right to use and enjoy the interest income is constrained by any contractual or legal obligation.

The following is S Limited's income statement for the year ended 31 December 2022:

	US$	US$
Interest income from intra-group financing (Note 1)		9,000,000
Interest income from bank deposit		500,000
Expense:		
Salary and office expense (Note 2)	1,000,000	
Bank interest expense and charges	200,000	
Interest expense to participating subsidiaries (Note 3)	1,000,000	
Interest expense to shareholder (Note 3)	6,000,000	
		(8,200,000)
Profits before tax		1,300,000

Note 1: Includes a loan to a Chinese subsidiary C Limited of US$20m bearing interest rate of 5%.

Note 2: Qualifies as local business spending (see business issue (i) below).

Note 3: Interest income received by shareholder and participating subsidiaries is subject to corporate income tax at over 20% in the jurisdictions where they operate; they are all profit making and do not have unutilised tax losses; and they do not carry on any business in Country S and/ or Hong Kong.

S Limited's business is purely intra-group financing; all its assets and liabilities are related to this business; and it does not own any capital assets or long-term investments.

Recently, management is aware that the ETC tax incentive of S Limited is about to expire. Renewal of the same for another five years involves assessment of the following business issues:

Issue (i): S Limited must commit a 100% increment of its annual minimum local business spending and 200% increment of headcount for qualified ETC professionals. Current assessment by management indicates that the team in Country S has excess work capacity.

Issue (ii): Rent for residential units in Country S is sky-rocketing and this problem has no sign of improvement.

Issue (iii): Work visa applications for ETC professionals seconded from headquarters and other Asian countries are frequently rejected. Hiring ETC professionals locally is getting more difficult and costly.

Against the above background, F Group is considering the relocation of its intra-group financing business to Hong Kong. The relocation will involve the following:

1. Setting up a wholly owned subsidiary H Limited in Hong Kong immediately under the ultimate parent company F Limited incorporated and tax resident in Country F.

2. Assign/ novate all inter-company loans from S Limited to H Limited.

3. Transfer all bank deposits and borrowings to H Limited.

4. Relocate to Hong Kong or locally hire ETC professionals by H Limited.

5. Appoint local directors by H Limited.

6. H Limited will carry on the intra-group financing business entirely in Hong Kong, in the same mode as that carried on by S Limited in Country S in the past.

7. H Limited will make an election in its profits tax return for applying the half rate concession under the Qualifying Corporate Treasury Centre ("QCTC") tax regime on the basis that it is a QCTC.

In the course of initial assessment for this relocation, it was noted that advance ruling can be applied to secure certainty on tax treatments pertaining to the new intra-group financing business in Hong Kong.

<u>Question 1</u> (21 marks – approximately 38 minutes)

(a) By reference to the provisions in the Inland Revenue Ordinance ("IRO") and practice notes issued by the Inland Revenue Department ("IRD"), compare the ETC incentive in Country S and QCTC tax regime in Hong Kong.

Note: You should limit your discussion to the five terms mentioned in the case. If similar requirements do not exist under the QCTC tax regime in Hong Kong, please state so.

(10 marks)

(b) Assuming H Limited can conduct the same intra-group financing business in Hong Kong as what S Limited does in Country S, and the business scale and cost structure will remain unchanged from the financial year ended 31 December 2022, compute the profits before tax and the corporate income tax liability for the year ending 31 December 2023 for the following hypothetical situations:

(i) S Limited if it has renewed the ETC incentive; and

(ii) H Limited if it is entitled to the half-rate concession applicable to a QCTC.

Note: You should assume all incomes are taxable and all expenses are tax deductible. Observe the new annual minimum local spending requirement and ignore withholding tax from overseas interest income and tax credit.

(6 marks)

(c) In light of your findings from the tax liability calculation in Question 1(b) and any ONE (at your own choice) of the business issues (i) to (iii) mentioned in the case, discuss whether the relocation of the intra-group financing business to Hong Kong is desirable to F Group.

(5 marks)

<u>Question 2</u> (12 marks – approximately 22 minutes)

(a) Contrast the source and taxation of the interest income derived by H Limited from its intra-group financing business and that derived by a company (that carries on a business in Hong Kong) from a simple loan of money, in light of the relevant provision in the IRO and case law.

(6 marks)

(b) Contrast the deductibility of the interest expense paid by H Limited under the QCTC arrangement to its shareholder F Limited which is a tax resident in Country F, and that paid by a company (that earns profits chargeable to profits tax) to its overseas parent company in respect of a loan provided as working capital.

(6 marks)

Question 3 (8 marks – approximately 14 minutes)

(a) The US$20 million loan agreement with the Chinese subsidiary C Limited provides that

the interest payable by the Chinese subsidiary shall be grossed up to the extent necessary to ensure that H Limited receives a sum, which, net of any tax withholding, is equal to the sum which it would have received as if no such tax withholding had been made or required to be made.

Assuming C Limited is going to pay the half-year interest of US$500,000 to H Limited and the applicable interest withholding tax rate under the double tax agreement between Hong Kong and China is 7%, compute:

(i) The before-tax amount of the interest payment in accordance with the above clause.

(ii) The amount of withholding tax that C Limited should deduct from the before-tax amount of the interest payment.

(iii) The interest margin (net of withholding tax deducted) of this intra-group lending transaction, taking the finance cost of US$400,000.

(4 marks)

(b) Briefly outline the IRD's position on the transactions of a QCTC with its related group entities from a transfer pricing perspective.

Note: Discussion of transfer pricing documentation requirements is not required.

Suggest ONE possible transfer pricing method (with reason) that can be applied to determine the arm's length interest margin of H Limited if it would like to maintain its QCTC status.

(4 marks)

Question 4 (9 marks – approximately 16 minutes)

You are the tax manager of the accounting firm that is advising F Group on this business relocation. Other than the existing tax advisory engagement, the client would like to have a separate tax engagement for application of advance ruling, with the special request that the service fee should be payable only if a favourable ruling is given by the IRD. The client indicated he can selectively provide the most favourable information to you to increase the chance of getting a favourable ruling, so you will finally get the fee paid.

(a) With reference to the advance ruling application procedures, outline the professional work procedures for this advance ruling application tax engagement, and state the services and work products to be delivered to the client.

(5 marks)

(b) Advise the key areas that you would like to highlight to the client before acceptance of this tax engagement.

Note: You should focus your discussion on information given in the case and the question. Discussion of client acceptance procedures is not required.

(4 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (13 marks – approximately 23 minutes)

Keith had been working at Hotel P since 2018 as senior manager. Pursuant to the employment terms, either party could give three months' notice or payment in lieu of notice to terminate the employment relationship.

On 16 May 2022, Hotel Q offered to employ Keith as Chief Operating Officer effective from 1 June 2022. Keith found that it was a great opportunity to advance his career in the hospitality industry. He decided to join Hotel Q as soon as possible on 1 June 2022. He thus tendered his resignation to Hotel P on 17 May 2022 with last day of employment on 31 May 2022.

As Keith failed to serve sufficient notice period, he had to pay Hotel P a sum of HK$200,000 being payment in lieu of notice ("PILON"). He settled the PILON on the last day of employment per Hotel P's written request.

By a letter of 2 June 2022, Hotel Q informed Keith that he would be paid HK$200,000 ("Sum Q") as a compensation for the PILON he made to Hotel P, with the condition that he must be employed by Hotel Q for at least 6 months. Sum Q was paid to Keith together with his June 2022 salary.

Upon receiving his Salaries Tax assessment for the year of assessment 2022/23, Keith objected to the assessment claiming that (1) the PILON should be deductible; and (2) Sum Q should not form part of his assessable income.

Required:

Assume that you are Leo, Keith's tax advisor. With reference to the relevant IRO provisions and legal principles, write an email to Keith to give advice on the following aspects:

(1) Whether the PILON could be deducted under Salaries Tax.

(2) Whether Sum Q forms part of the assessable income.

(3) If Keith insists that his objection should be allowed but IRD does not agree:

- **(i) How would he be informed by the IRD on the result of the objection; and**
- **(ii) How could he pursue the case further, and suggest the pros and cons (THREE in total) for him to do so.**

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.

(13 marks)

Question 6 **(22 marks – approximately 40 minutes)**

Mama's Bakery ("the Bakery") is a partnership business run by Hazel, Iris and MB Limited ("MBL"). Apart from the manufacture of bakery products, the Bakery was also engaged in retail sale at a shop in Yuen Long.

The Bakery's profits before tax for the year ended 31 December 2021, after adding back the accounting depreciation, was HK$432,850, which had reflected the following events that happened during the year:

(1) As part of the Bakery's expansion plan, it rented an additional shop premises ("the Premises") adjacent to its existing shop. The tenancy agreement of the Premises (with two copies) was for 3 years starting from 1 February 2021 at monthly rent of HK$40,000 for February 2021 to July 2022 (i.e. the first 18 months), and HK$42,000 for August 2022 to January 2024 (i.e. the remaining 18 months). The tenancy agreement also provided for a 1-month rent-free period in August 2021. The Bakery incurred HK$150,000 on the renovation of the Premises.

(2) Hazel and Iris were each entitled to 45% of the Bakery's profits, and the remaining 10% was for MBL. Also, Hazel and Iris drew a monthly salary of HK$20,000 and HK$18,000 respectively.

(3) Hazel, who was a major baker of the Bakery, was diagnosed with a hand condition that required prolonged treatments. It was agreed that the Bakery would reimburse Hazel's medical expenses, totaling HK$75,294 for the year ("the Medical Expenses").

(4) To facilitate the delivery of products, the Bakery acquired, on hire purchase terms, a motor vehicle which cost HK$250,000. Deposit of HK$25,000 was made. During the year ended 31 December 2021, total repayment made under the hire purchase contract was HK$37,294, of which HK$6,029 was interest payments.

Required:

(a) Compute the stamp duty payable on the tenancy agreement in respect of the Premises. Also advise the time limit for stamping and the penalty of late stamping.

(4 marks)

(b) Based on the information available, prepare a profits tax computation to compute the assessable profits of the Bakery for the year of assessment 2021/22. Also, with reference to the relevant IRO provisions and legal principles, draft explanatory notes on the respective tax treatment of the renovation costs of the Premises and the Medical Expenses.

(10 marks)

(c) Assume that the Bakery is entitled to two-tiered profits tax rates, and none of the individual partners has elected for Personal Assessment. Prepare a statement of allocation of profit/ loss for the Bakery for the year of assessment 2021/22, which should show the respective profit/ loss of, and the profits tax payable (if any) by each partner. Ignore tax reduction and provisional tax.

(8 marks)

<u>Question 7</u> **(15 marks – approximately 27 minutes)**

Yoyo, your secondary schoolmate, works in a trading company ("the Company") as the administrative manager. She knows that you are a QP student, and has shared with you the following:

(1) The Company had received a letter ("the Letter") from the IRD requesting it to provide a breakdown and the evidence of office rent paid for the IRD to ascertain the tax liability of the landlord of the office premises. Yoyo was confused as to why the IRD could demand such information from the Company, since it is the tenant of the office premises.

(2) She claimed and was allowed dependent parent allowance ("DPA") in respect of her father-in-law ("the Dependant") for the year of assessment 2022/23. Subsequently, she was notified by the IRD that her brother-in-law had also lodged a DPA claim in respect of the Dependant for the same year. She was required to agree with the brother-in-law on who will claim the DPA ("DPA Agreement").

(3) Her mother had been living in the Fujian Province upon retirement in 2010, and had a solely owned property in Hong Kong earning rental income. Unfortunately, her mother passed away in early April 2023. Yoyo was the executor of her mother's estate.

(4) Yoyo was aware that election for Personal Assessment ("PA") might reduce the tax payable by property owner, and that executor might elect for PA on behalf of the deceased taxpayer. Yoyo also told you that she stayed in Hong Kong for more than 330 days in the year of assessment 2022/23.

<u>Required:</u>

With reference to the relevant IRO provisions:

(a) Explain why the IRD could obtain the information specified in the Letter from the Company. Also advise the consequences if the Company fails to comply with the requirements of the Letter.

(4 marks)

(b) Explain why the IRD sought for the DPA Agreement between Yoyo and her brother-in-law. Also advise the consequences if she fails to give a reply or no DPA Agreement could be reached with her brother-in-law.

(4 marks)

(c) Advise Yoyo's tax obligations as the executor of her late mother's estate.

(3 marks)

(d) Given the circumstances of the case, advise with reasons whether Yoyo should make the PA election on behalf of her late mother for the year of assessment 2022/23.

(4 marks)

* * * END OF EXAMINATION PAPER * * *